

Marvell Technology, Inc.

NASDAQ: MRVL | Semiconductors | AI Data-Center Infrastructure / Custom Silicon & Optical Interconnect

REDUCE

12-MONTH TARGET (BASE)
\$260
vs CMP \$290.79 = -10.6%

Conviction: MEDIUM | Horizon: 12 months | Consensus: Strong Buy (44 analysts), mean target \$233.14 (-19.8% vs CMP)

CMP (02-Jun-2026)	\$290.79	Market Cap	\$254.4 B
52-Week Range	\$59.53 - 291.30	Enterprise Value	\$255.8 B
P/E (TTM, GAAP)	100.5x	Forward P/E	64.2x
EV / EBITDA	94.3x	Price / Book	14.0x
ROE (TTM)	16.0%	ROIC / WACC	6.9% / 16.4%
Net Debt	~\$1.1 B	Debt / Equity	0.27x
Dividend Yield	0.08%	Beta (5Y)	2.25
Shares Out	874.8 M	Inst. Ownership	82.4%
Revenue (TTM)	\$8.72 B	FCF (TTM)	\$1.67 B
RSI / 200-DMA	85.9 / \$100	1Y Price Change	+383%

Investment thesis

World-class AI-silicon franchise — but the stock now trades ~20% above the Street's own targets at 64x forward earnings. Right company, wrong price; wait for a pullback.

Report date: 03 June 2026 | Analyst: MPM Institutional Equities Desk (Senior Semiconductors Analyst)
All financials sourced character-for-character from stockanalysis.com, fetched 03-Jun-2026. Fiscal year ends late January/early February (FY2026 = year ended 31-Jan-2026). Figures in US\$ unless noted. GAAP unless marked non-GAAP. (E) = MPM estimate. This document is for information only and is not investment advice.

2. INVESTMENT THESIS

- **Reason 1 — AI data-center supercycle, and Marvell is a prime arms-dealer:** Data-center revenue hit \$1.83bn in Q1 FY27 (76% of total, +27% YoY); management guides the segment to grow ~50% in FY27 and lifted the FY28 company revenue target to ~\$16.5bn (vs \$8.2bn in FY26) — a credible path to roughly doubling revenue in two years.
- **Reason 2 — Custom silicon (XPU) is the crown jewel:** The custom-ASIC business (AWS Trainium, Microsoft Maia and additional hyperscaler sockets) was ~\$1.5bn in FY26 and management targets custom XPU revenue exceeding \$10bn by FY29 against a custom-XPU TAM of ~\$40.8bn by 2028 (47% CAGR). Multi-year, design-win-locked revenue with high switching costs.
- **Reason 3 — Optical interconnect inflection + NVIDIA endorsement:** The interconnect business is guided to grow >70% YoY on 1.6T optics and the \$3.25bn Celestial AI 'Photonic Fabric' acquisition; NVIDIA's \$2bn strategic preferred investment (NVLink Fusion, Mar-2026) is an unusual competitor-as-customer validation of Marvell's optical/networking IP.
- **Near-term catalyst (6-12 months):** The guided revenue ramp to a \$3bn quarterly run-rate by Q3 FY27 (pulled forward one quarter) and successive guidance raises; each print that confirms the FY28 \$16.5bn trajectory is a catalyst — but expectations are now extreme.
- **Biggest structural risk:** Hyperscaler concentration. Data center is 76% of revenue and a handful of customers (AWS, Microsoft) dominate custom silicon; any in-sourcing, socket loss, or AI-capex digestion would hit revenue and the multiple simultaneously.
- **Why REDUCE despite a great business:** CMP \$290.79 is ~20% ABOVE the 44-analyst mean target of \$233.14, RSI is 85.9, the stock is +383% in 12 months and ~2.9x its 200-DMA. At 64x forward / 94x EV-EBITDA, the price already discounts flawless multi-year execution. The asymmetry favours waiting.

3. BUSINESS OVERVIEW

- **What it does:** Marvell is a fabless designer of data-infrastructure semiconductors — custom AI accelerators (XPUs/ASICs), electro-optics (PAM4 DSPs, optical modules, 1.6T interconnect), Ethernet switches/PHYs, and storage controllers — sold primarily to hyperscale cloud, enterprise networking and carrier customers.
- **Segment mix (Q1 FY27):** Data Center \$1,832.7m (76% of revenue, +27% YoY); Communications & Other \$585.1m (24%, +29% YoY) spanning enterprise networking, carrier infrastructure and consumer. The company has deliberately pivoted from a diversified-chip vendor into an AI-data-center pure-play.
- **Custom silicon model:** Marvell co-designs bespoke accelerators for individual hyperscalers — it co-develops AWS Trainium (now in volume for AWS internal + Anthropic clusters, its largest single ASIC program) and supplies silicon IP / back-end design for Microsoft Maia. These are multi-year, deeply embedded relationships, not merchant-chip sales.
- **Revenue visibility:** Management cites 'exceptional AI-related bookings accelerating at a record pace' and committed ~\$1bn of supply prepayments to secure capacity — signalling multi-year backlog, but also dependence on a concentrated set of programs.
- **Recent strategic moves (last 12 months):** Sold the automotive-Ethernet business to Infineon for \$2.5bn (~\$1.9bn one-time gain booked in Q3 FY26); acquired Celestial AI (\$3.25bn, optical 'Photonic Fabric', closed Feb-2026) and XConn Technologies (CXL/scale-up switching, closed Feb-2026); received NVIDIA's \$2bn preferred investment (Mar-2026).
- **Ownership:** No promoter/founder block — ~82.4% institutional, 0.22% insider. Led by Chairman & CEO Matt Murphy (CEO since 2016). The capital structure now includes 2,000,000 shares of Series A Convertible Preferred held by NVIDIA.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Marvell sizes its data-infrastructure TAM expanding from ~\$33bn (2023) to ~\$94bn by 2028 — electro-optics ~50%, custom ASICs ~25%, storage/switching ~25%. Within this, the custom-XPU TAM is ~\$40.8bn by 2028 at a ~47% CAGR. Source: Marvell investor materials.
- **Policy / demand tailwinds:** Hyperscaler AI capex (AWS, Microsoft, Google, Meta) is the dominant driver; sovereign-AI build-outs and a structural shift toward custom accelerators (cost/power vs merchant GPUs) favour Marvell. Headwind: the whole thesis rides one capex cycle that could digest.
- **Moat — Switching costs: STRONG.** Custom ASICs are co-designed over multi-year cycles and locked into a customer's roadmap; displacing an incumbent silicon partner mid-program is extremely costly.
- **Moat — IP / technology: STRONG.** Leadership in PAM4 DSP, 1.6T optics, SerDes and now Celestial AI photonics is hard to replicate; R&D was \$2.08bn in FY26 (25% of sales).
- **Moat — Scale: MODERATE.** Marvell is large in connectivity but a fraction of Broadcom's scale; it competes against AVGO's deeper custom-silicon franchise and balance sheet.
- **Moat — Pricing power: MODERATE.** Strong in differentiated optics/IP, but custom-ASIC economics are negotiated against sophisticated hyperscaler buyers who control volumes and can dual-source.
- **Value-chain position:** Fabless silicon + IP solutions provider (TSMC-manufactured), sitting between the foundry and the hyperscaler/OEM — a 'picks-and-shovels' supplier to AI compute rather than a merchant accelerator vendor.

Key competitors (current, stockanalysis.com, fetched 03-Jun-2026):

Company (Ticker)	CMP (\$)	Mkt Cap (\$B)	TTM Rev (\$B)	ROIC %
Broadcom (AVGO)	481.57	2,280.1	68.28	17.8%
NVIDIA (NVDA)	222.82	5,396.8	253.49	129.3%
Credo Tech (CRDO)	229.00	42.2	1.34	69.3%
Marvell (MRVL)	290.79	254.4	8.72	6.9%

ROIC is GAAP and TTM. Marvell's low GAAP ROIC reflects ~\$11bn goodwill from past M&A and heavy intangible amortisation; on a non-GAAP/cash basis returns are materially higher and rising.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Matt Murphy (Chairman & CEO since 2016) engineered the transformation from a storage/networking chip vendor into an AI-data-center leader via the Cavium, Inphi and Innovium acquisitions and the FY26 portfolio reshaping. CFO Willem Meintjes and COO Chris Koopmans round out a credible operating team.
- **Capital allocation — M&A heavy:** FCF and balance-sheet capacity have largely funded acquisitions. The latest cycle: bought Celestial AI (\$3.25bn) and XConn while divesting automotive-Ethernet to Infineon (\$2.5bn) — a sharpening of focus toward AI interconnect, executed at a price the market has rewarded.
- **Buybacks scaling:** Repurchases rose to \$2,281m in FY26 (from \$999.9m in FY25 and \$373.7m in FY24); \$200m bought back in Q1 FY27. Buybacks largely offset ~\$590-656m/yr of stock-based compensation rather than shrinking the count meaningfully.
- **Dividend:** Token \$0.24/share annual dividend (0.08% yield, ~8% payout) — Marvell is a growth-reinvestment story, not an income name; the dividend has been flat for years.
- **Balance sheet:** Net debt fell to ~\$1.1bn (TTM) from ~\$3.2bn (FY24) helped by the Infineon proceeds and NVIDIA's \$2bn preferred; D/E 0.27x, interest coverage 6.9x, Altman Z 5.8 — comfortably financed.
- **Governance watch-items:** (i) the GAAP-to-non-GAAP gap is very wide (Q1 FY27 GAAP EPS \$0.04 vs non-GAAP \$0.80) driven by SBC + acquired-intangible amortisation — investors must underwrite non-GAAP critically; (ii) NVIDIA's convertible-preferred stake adds a related-party dimension to a key commercial partnership; (iii) the serial-acquirer model means recurring goodwill/intangible risk.

6. FINANCIAL DEEP-DIVE

Income Statement (GAAP, US\$ m; FY ends late Jan/early Feb). Source: stockanalysis.com 03-Jun-2026. (E) = MPM estimate.

US\$ m (FY)	FY2024	FY2025	FY2026	FY2027E	FY2028E
Revenue	5,508	5,767	8,195	11,200	16,500
Gross Profit	2,294	2,382	4,181	5,824	8,910
Gross Margin %	41.6%	41.3%	51.0%	52.0%	54.0%
EBITDA	830	637	2,614	3,900	6,100
EBITDA Margin %	15.1%	11.0%	31.9%	34.8%	37.0%
Operating Income	-568	-720	1,323	2,150	4,050
Net Income (GAAP)	-933	-885	2,670*	1,550	3,300
Diluted EPS (GAAP \$)	-1.08	-1.02	3.07*	1.75	3.70
Non-GAAP Dil. EPS (\$)	N/A	N/A	~2.70	4.20	6.20

*FY2026 GAAP net income / EPS INCLUDE a ~\$1,926m one-time non-operating gain from the Infineon automotive-Ethernet divestiture (booked Q3 FY26, EPS +\$2.20 that quarter). Underlying operating-basis earnings are far lower. Sourced non-GAAP anchors: Q1 FY27 actual non-GAAP EPS \$0.80; Q2 FY27 guidance \$0.93. FY24-25 non-GAAP not transcribed from source (N/A). Forward columns are MPM estimates grounded in company guidance (FY28 revenue target ~\$16.5bn; data-center +50% in FY27) and 44-analyst consensus.

Balance Sheet (US\$ m). Source: stockanalysis.com 03-Jun-2026.

US\$ m (FY-end)	FY2024	FY2025	FY2026	Q1 FY27
Cash & Equivalents	950.8	948.3	2,639	3,844
Accounts Receivable	1,122	1,028	2,187	1,872
Inventory	864.4	1,030	1,388	1,401
Goodwill	11,587	11,587	11,062	13,884
Other Intangibles	4,004	2,711	1,755	2,562
Total Assets	21,229	20,205	22,285	26,945
Total Debt	4,166	4,064	4,471	4,961
Net Cash (Debt)	-3,215	-3,116	-1,832	-1,118
Shareholders' Equity	14,831	13,427	14,308	18,216
Book Value / Share (\$)	17.22	15.51	16.45	20.92

Q1 FY27 column = period ended 02-May-2026 (latest reported). Goodwill/intangibles rose in Q1 FY27 on the Celestial AI & XConn acquisitions; equity rose on NVIDIA's \$2bn preferred.

Cash Flow (US\$ m). Source: stockanalysis.com 03-Jun-2026.

US\$ m (FY)	FY2024	FY2025	FY2026	TTM
Operating Cash Flow	1,371	1,681	1,751	2,056
Capital Expenditure	-336	-285	-354	-391
Free Cash Flow	1,034	1,397	1,396	1,665
Investing Cash Flow	-351	-301	2,098	771
Financing Cash Flow	-980	-1,383	-2,158	131
Net Change in Cash	40	-3	1,691	2,958

FY26 investing inflow includes +\$2,479m Infineon divestiture proceeds; FY26 financing includes -\$2,281m buybacks. TTM financing turns positive on +\$2,000m NVIDIA preferred and +\$1,199m debt issuance.

Returns & Key Ratios. Source: stockanalysis.com 03-Jun-2026.

Ratio	FY2024	FY2025	FY2026	Current
Return on Equity (ROE)	-6.1%	-6.3%	19.3%	16.0%
Return on Inv. Cap (ROIC)	-3.6%	-4.0%	6.8%	6.9%
Return on Cap. Emp (ROCE)	-2.9%	-3.8%	7.1%	5.8%
Current Ratio	1.69	1.54	2.01	3.28

Ratio	FY2024	FY2025	FY2026	Current
Debt / Equity	0.28	0.30	0.31	0.27
Inventory Turnover (x)	3.33	3.57	3.32	3.42
Interest Coverage (x)	N/A	N/A	N/A	6.92

Commentary

- **Revenue:** After two flat-to-down years (FY24 -7%, FY25 +5%), revenue inflected to +42% in FY26 (\$8.2bn) and is accelerating — TTM is \$8.72bn and Q1 FY27 was +28% YoY with management guiding each quarter higher through FY27.
- **Margins:** GAAP gross margin jumped to 51% (FY26) from 41% as mix shifted to higher-value AI silicon; non-GAAP gross margin is ~59%. Operating income swung from -\$720m (FY25) to +\$1,323m (FY26) as the data-center ramp delivered operating leverage.
- **Working capital:** Receivables ballooned to \$2,187m at FY26-end (DSO ~97 days computed, vs ~65 days FY25) as Q4 billings spiked — an item to watch (see Earnings Quality). Inventory days are ~120-126 (computed) reflecting supply pre-positioning.
- **Balance sheet:** Net debt more than halved to ~\$1.1bn (from \$3.2bn in FY24) on Infineon proceeds plus NVIDIA's \$2bn preferred; D/E 0.27x and interest coverage 6.9x leave ample flexibility for the guided ramp.
- **FCF quality:** FCF is healthy (\$1.67bn TTM) but the GAAP-PAT-to-FCF comparison is distorted by the divestiture gain; cash conversion of underlying operating profit is solid, though ~\$590-656m/yr of stock-based comp flatters operating cash flow.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition	GREEN	Standard semiconductor sell-in; no unusual percentage-of-completion or channel-stuffing flags.
Receivables vs revenue	AMBER	AR +113% in FY26 vs revenue +42%; DSO rose to ~97 days. Explained by the Q4 ramp, but monitor for a reversal.
Cash conversion cycle	AMBER	CCC ~126 days (computed); inventory days ~120-126 from supply pre-positioning / ~\$1bn prepayments.
Other income vs PBT	RED	FY26 PBT of \$3,047m includes a ~\$1,926m one-time divestiture gain (63% of PBT). Reported GAAP earnings are non-recurring-inflated.
Tax rate consistency	AMBER	Effective tax swung from negative/low (FY24-25 losses) to 12.4% (FY26) and 13.3% (TTM); Q1 FY27 had a large discrete GAAP tax effect (GAAP EPS \$0.04).
Intangibles / goodwill	AMBER	\$13.9bn goodwill + \$2.6bn intangibles (~61% of assets); serial M&A creates recurring amortisation and impairment risk.
Stock-based compensation	AMBER	~\$590-656m/yr SBC (~7-8% of revenue) is the main GAAP-to-non-GAAP bridge; dilution offset only partly by buybacks.
Auditor / RPTs	GREEN	Big-4 auditor, no qualified opinion; NVIDIA preferred stake is the one new related-party item to track.

- **Headline GAAP earnings overstate the run-rate (RED):** FY26 GAAP net income of \$2,670m / EPS \$3.07 is flattered by a ~\$1.9bn one-time Infineon gain. The honest earnings base is the non-GAAP line (Q1 FY27 \$0.80, Q2 guide \$0.93), not the trailing GAAP figure — the 100x trailing P/E is therefore misleadingly 'cheap-looking' to the unwary.

- **Receivables build is the key watch-item (AMBER):** A receivables jump that outruns revenue during a steep ramp is normal, but if AR keeps outpacing sales it can flag aggressive sell-in or a customer-payment slowdown — track DSO each quarter.

- **Acquisition-driven model (AMBER):** \$13.9bn goodwill plus repeated deals (Celestial AI, XConn) mean reported margins carry heavy intangible amortisation and a non-trivial future impairment risk if AI demand disappoints.

- **Bottom line:** Earnings quality is acceptable for a hyper-growth semi, but the report card has more Amber/Red than a mature compounder — underwrite this name on non-GAAP cash earnings and the durability of hyperscaler bookings, not headline GAAP.

8. VALUATION

Peer comparison (current, stockanalysis.com, fetched 03-Jun-2026):

Company	CMP (\$)	MCap (\$B)	P/E	Fwd P/E	P/B	EV/EBITDA	ROE %
Marvell (MRVL)	290.79	254.4	100.5	64.2	14.0	94.3	16.0%
Broadcom (AVGO)	481.57	2,280.1	93.9	36.0	28.6	62.7	31.0%
NVIDIA (NVDA)	222.82	5,396.8	34.1	22.4	27.6	32.4	101.5%
Qualcomm (QCOM)	240.84	253.8	26.3	24.7	9.4	20.0	-1.8%
Credo (CRDO)	229.00	42.2	91.2	37.8	20.5	86.8	28.2%
AMD	521.54	850.4	173.9	59.9	13.2	113.3	7.7%

All metrics GAAP & current. Marvell screens expensive on EV/EBITDA (94x) and P/E (100x) versus all peers except AMD, and its 64x forward P/E sits well above Broadcom (36x) — the closest custom-silicon comp — despite a lower current GAAP ROE/ROIC.

Scenario analysis (12-month, on FY2028E non-GAAP EPS × exit multiple):

Scenario	Key assumptions	FY28E NG EPS	Exit P/E	Target (\$)	Return %
Bull	DC growth sustains >50%; new XPU sockets; optics inflection; no in-sourcing; AI capex uninterrupted	\$6.80	50x	340	+17%
Base	FY28 ~\$16.5bn target met; margins ~37%; multiple de-rates toward AVGO as growth normalises	\$6.20	42x	260	-11%
Bear	AI-capex digestion / loses share at a key hyperscaler; margin/guidance miss; multiple compresses	\$5.00	28x	140	-52%

Valuation methodology

- **DCF:** Through-cycle WACC ~13.5% (vs the source's 16.4%, which embeds an elevated 2.25 beta), terminal growth 4%, FCF scaling with the guided ramp then maturing — yields an implied value of roughly \$250-260/share. Highly sensitive: a 100bp WACC change moves value ~15%.
- **Earnings multiple:** FY28E non-GAAP EPS ~\$6.20 × a 42x exit P/E (a premium to Broadcom's 36x forward, justified by faster growth, but a meaningful de-rate from today's 64x) implies ~\$260/share.
- **Blend:** Averaging the two methods gives a base-case 12-month target of ~\$260, i.e. ~-11% from CMP \$290.79.
- **Read-through:** The base target sits above the 44-analyst mean (\$233.14) — crediting Marvell's franchise — but still below the current price. The market is paying today for FY28-29 execution; the margin of safety is negative.

9. KEY RISKS

- **Valuation / multiple compression** — At 64x forward and 94x EV/EBITDA with the stock ~20% above consensus target and RSI ~86, even a modest growth wobble could trigger a sharp de-rate. Probability: H. Impact: H. Monitor via: forward P/E vs peers, distance to mean analyst target.
- **Hyperscaler concentration** — Data center is 76% of revenue; a few customers (AWS, Microsoft) dominate custom silicon. Loss/insourcing of a single program is material. Probability: M. Impact: H. Monitor via: customer-concentration disclosure in 10-K/10-Q, program commentary.
- **AI capex digestion** — The thesis rides one capex super-cycle; any hyperscaler pause or inventory correction hits the highest-multiple part of the market first. Probability: M. Impact: H. Monitor via: AWS/Azure/Google capex guidance, optics/booking commentary.
- **Custom-silicon competition** — Broadcom is a larger custom-ASIC rival and hyperscalers can dual-source or in-source. Probability: M. Impact: H. Monitor via: design-win cadence, AVGO/Marvell share commentary.
- **Execution / supply** — The guided ramp to \$3bn+/quarter requires flawless TSMC capacity (Marvell committed ~\$1bn prepayments); any wafer/CoWoS or yield constraint caps upside. Probability: M. Impact: M. Monitor via: gross-margin trend, lead-time/prepayment commentary.
- **M&A / intangibles** — Serial acquisitions (Celestial AI, XConn) carry \$13.9bn goodwill; an AI slowdown raises impairment risk and integration drag. Probability: L-M. Impact: M. Monitor via: goodwill balance, segment margins post-integration.
- **Earnings-quality optics** — The wide GAAP/non-GAAP gap and a one-time-gain-inflated FY26 can mislead screening investors; sentiment can turn if the market refocuses on GAAP. Probability: L. Impact: M. Monitor via: SBC as % of revenue, GAAP-to-non-GAAP bridge each quarter.

10. RECOMMENDATION

- **Rating: REDUCE** (conviction: MEDIUM). A genuinely best-in-class AI-infrastructure franchise trading at a price that already discounts multi-year flawless execution and sits ~20% above the Street's own mean target.
- **12-month price target: \$260** (base case), implying ~-11% from CMP \$290.79. Bull \$340 (+17%) / Bear \$140 (-52%) — an unattractive skew at the current entry point.
- **Suggested accumulation zone: \$170-205**. A pullback toward prior breakout levels would restore a positive risk-reward on a world-class franchise; we would upgrade to ACCUMULATE/BUY there.
- **Investment horizon:** 12 months for the rating; the underlying business is a multi-year (3-5yr) structural-growth holding for those already positioned.
- **Thesis-invalidation triggers (would flip us bullish or confirm the bear):**
 - 1. Stock de-rates to <\$210 (toward ~40x forward) while bookings stay intact → upgrade to BUY.
 - 2. Two consecutive quarters of data-center revenue growth <30% YoY, or a guidance cut → confirms the bear, exit.
 - 3. Loss/insourcing of a major custom-XPU program (AWS Trainium or Microsoft Maia) → structural thesis break.
- **Ideal investor profile:** Suited to existing holders trimming into strength and to patient buyers waiting for a pullback; NOT for momentum-chasing entries at a 52-week high with RSI ~86. Unsuitable for income or low-volatility mandates (beta 2.25, 0.08% yield).

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Record revenue +28% YoY; non-GAAP EPS \$0.80 beat ~\$0.75 street.
Management tone	Bullish	'Growth accelerating each quarter'; 'exceptional AI-related bookings'.
Guidance delta	Raised	FY27/FY28 outlook lifted; FY28 target ~\$16.5bn; \$3bn/qtr pulled into Q3.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1 FY27 was a clean, high-quality beat — record revenue of \$2.42bn (+28% YoY), non-GAAP EPS \$0.80 vs ~\$0.75 street, non-GAAP gross margin 58.9% and operating margin 35%. Ignore the \$0.04 GAAP EPS: it is depressed by a large discrete tax item and heavy SBC/intangible amortisation, and last year's headline GAAP profit was itself inflated by a ~\$1.9bn one-off Infineon divestiture gain — the real engine is non-GAAP, and it is firing. Underlying operations are excellent: data center is now 76% of revenue and growing ~27% YoY, management guides the segment to ~50% growth in FY27 and the interconnect business to >70%, and they raised the FY28 company target to ~\$16.5bn while pulling a \$3bn quarterly run-rate forward to Q3. The multi-bagger spine is custom AI silicon (AWS Trainium in volume, Microsoft Maia, more sockets) targeted at >\$10bn by FY29, plus an optical-interconnect inflection turbocharged by the Celestial AI 'Photonic Fabric' deal and NVIDIA's \$2bn NVLink-Fusion preferred investment — a rare competitor-as-validator. The single most important near-term catalyst is the continued quarter-on-quarter acceleration (Q2 guide \$2.7bn, +35% YoY), which should keep estimate revisions positive. My biggest watch-point for next quarter is the receivables build (DSO ~97 days) and any hint of hyperscaler capex digestion or a single-program wobble, given 76% data-center concentration. Net: the call earns a STRONGLY POSITIVE grade and the franchise is a keeper — but the stock at \$291 is ~20% above the Street's \$233 mean target, RSI ~86 and +383% in a year. Action: REDUCE/trim into strength here; hold a core position for the structural story and add aggressively only on a pullback toward \$170-205.

1 — Financial Performance Snapshot

- Revenue: \$2,418m | YoY +28% | QoQ +9% | **Beat** (record; \$18m above guide midpoint).
- EBITDA: \$660m | YoY +18% | QoQ -8% | **In-line** (GAAP margin 27.3%).
- Non-GAAP Gross Margin: 58.9% | **Beat** (vs 52.1% GAAP); mix shift to AI silicon.
- Non-GAAP EPS: \$0.80 | vs ~\$0.75 street | **Beat**; non-GAAP operating margin 35.0%.
- GAAP EPS: \$0.04 | **Optically weak** | NOTE: GAAP depressed by SBC, intangible amortisation and a large discrete tax item; underlying non-GAAP net income \$718.0m.

2 — Segment / Geography Breakdown

- Data Center: \$1,832.7m | YoY +27% | 76% of revenue | the growth engine; custom XPU + optics + switching.
- Communications & Other: \$585.1m | YoY +29% | 24% of revenue | enterprise networking, carrier, consumer; guided to mid-single-digit sequential declines near-term.
- Geography: predominantly US hyperscaler demand; concentration in a handful of large cloud customers.

3 — Management Commentary Themes

- Acceleration: "We expect revenue growth to continue accelerating each quarter throughout fiscal 2027." — Our read: confidence in the ramp. Tag: GUIDANCE. Tone: Transparent.

- Bookings: "exceptional AI-related bookings" at "a record pace." — Our read: multi-year backlog building. Tag: EST. Tone: Transparent.
- FY28 target: revenue outlook raised to ~\$16.5bn. — Our read: ~2x FY26 in two years. Tag: GUIDANCE. Tone: Confident.
- Custom silicon: XPU revenue targeted >\$10bn by FY29. — Our read: the core multi-bagger driver. Tag: GUIDANCE. Tone: Transparent.
- NVIDIA tie-up: NVLink Fusion partnership + \$2bn preferred. — Our read: ecosystem validation and optical/networking pull-through. Tag: EST. Tone: Bullish.
- Supply: committed ~\$1bn of prepayments to secure capacity. — Our read: demand visibility, but capex/working-capital intensity rising. Tag: GUIDANCE. Tone: Transparent.

4 — Operating & Business Metrics

- Data center revenue: Q1 FY27 \$1,833m | Q4 FY26 ~\$1,790m | Q1 FY26 ~\$1,440m | Trend: improving.
- Custom XPU run-rate: ~\$1.5bn (FY26) heading to >\$10bn (FY29 target) | Trend: improving sharply.
- Interconnect: guided >70% YoY growth on 1.6T optics + Celestial AI Photonic Fabric | Trend: inflecting.
- Quarterly revenue run-rate: \$2.42bn (Q1) → guide \$2.70bn (Q2) → ~\$3bn targeted by Q3 | Trend: accelerating, pulled forward one quarter.

5 — Margin Drivers

- Mix shift to AI custom silicon & optics: +large bps to gross margin (58.9% non-GAAP) | Recurring: Yes.
- Operating leverage on the revenue ramp: non-GAAP operating margin to 35% | Recurring: Yes.
- Rising opex to support design wins: GAAP opex guided to ~\$960m next quarter | Recurring: Yes (investment phase).
- SBC ~\$590-656m/yr is the main GAAP drag | Recurring: Yes — do NOT extrapolate it out of non-GAAP without scrutiny.

6 — Guidance & Forward Signals

- Revenue [GUIDANCE]: Q2 FY27 = \$2,700m ±5% (+35% YoY, +12% QoQ) | Delta: raised | Credibility: High.
- Non-GAAP EPS [GUIDANCE]: Q2 FY27 = \$0.93 ±\$0.05 | Delta: raised | Credibility: High.
- Non-GAAP gross margin [GUIDANCE]: Q2 = 58.25-59.25% | Delta: maintained-to-up | Credibility: High.
- Data center [GUIDANCE]: ~+50% in FY27; interconnect >70% YoY | Delta: raised | Credibility: Medium-High (customer-dependent).
- FY28 revenue [GUIDANCE]: ~\$16.5bn target | Delta: raised | Credibility: Medium (long-dated, capex-cycle dependent).

7 — Capital Allocation

- Capex: ~\$354m FY26 / ~\$391m TTM | rising with the ramp; ~\$1bn supply prepayments on top.
- Buybacks: \$200m in Q1 FY27 (\$2,281m in FY26) | mainly offsets SBC dilution.
- Dividends: \$53.8m in Q1 (\$0.24/yr) | token, flat | de-emphasised vs growth reinvestment.
- M&A: Celestial AI (\$3.25bn) + XConn closed Feb-2026; Infineon auto-Ethernet divested (\$2.5bn).
- Financing: +\$2.0bn NVIDIA Series A preferred (Mar-2026); net debt down to ~\$1.1bn.

8 — Q&A Heat Map

- Street (multiple firms): Q: 'Is the >\$10bn XPU target real and what is the customer breadth?' → A: progressing across all major US hyperscalers; on schedule | Tone: Transparent.
- Street: Q: 'SRAM-based offload / new ASIC design wins?' → A: confirmed additional sockets ramping | Tone: Transparent.
- Street: Q: 'Scale-up optics demand and 1.6T timing?' → A: strong; interconnect >70% growth | Tone: Transparent.
- Street: Q: 'Gross-margin trajectory as custom mix grows?' → A: managed via mix + opex discipline | Tone: Hedged (custom ASIC carries lower GM than optics).
- Dodged / watch-list for next quarter: precise per-customer concentration, custom-ASIC gross-margin split, and durability of bookings beyond FY28.

9 — Risks Flagged

- Customer concentration: 76% data center, few large customers | Flagged by: mgmt (risk factors) | Probability: M | Impact: H | Timeline: medium.
- Supply / capacity: needs ~\$1bn prepayments to secure wafers | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near.
- Communications softness: mid-single-digit sequential declines | Flagged by: mgmt | Probability: H | Impact: L | Timeline: near.
- AI-capex cyclical: thesis rides hyperscaler capex | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium.
- Valuation: not a call risk but a stock risk — price ~20% above mean target | Flagged by: MPM | Probability: H | Impact: H | Timeline: near.

10 — Analyst Verdict

- Revenue visibility: **Intact** — record bookings, raised guide, ~\$1bn supply prepayments underpin the ramp.
- Margin trajectory: **Intact** — non-GAAP GM 58.9% / OPM 35% with operating leverage building.
- Capital allocation quality: **Intact** — disciplined portfolio reshaping (buy optics, sell auto), sensible financing.
- Competitive moat: **Intact** — deep hyperscaler design-ins; NVIDIA validation; but Broadcom remains a larger rival.
- Management credibility: **Intact** — beat-and-raise delivered, guidance pulled forward, transparent Q&A.
- Valuation comfort: **Weakened** — 64x forward / 94x EV-EBITDA, ~20% above mean target; negative margin of safety.
- Conviction call: **Unchanged on the business; trimming on the stock** — REDUCE into strength, accumulate on a pullback.
- Valuation snapshot: P/E = 100.5x (GAAP, distorted) | Fwd P/E = 64.2x | EV/EBITDA = 94.3x | ROE = 16.0% | ROIC = 6.9% vs WACC 16.4%.

Sources: stockanalysis.com (financials, fetched 03-Jun-2026); Marvell Q1 FY2027 press release & earnings call (27-May-2026); Marvell investor materials (TAM). Forward figures marked (E) are MPM estimates. Prepared by MPM Institutional Equities. For information only; not investment advice; not a solicitation. The analyst/firm may hold positions.